

Calderwood Partners LLC

www.calderwoodpartners.com

April 30, 2011

Julie Gonzalez
Director of Operations
Stark-Wilson

Dear Ms. Gonzalez:

I am writing to set down, as carefully as I can, the terms on which our firm would take up the organization design work you and your colleagues have described to us over the past several weeks, so that once you have read this letter and, if it records the understanding we reached, returned a signed copy to me, there is one document either of us can turn to should a question later arise about what we agreed. I have tried throughout to promise only what I am confident we can deliver, and if any sentence here reads as claiming more than that, I would rather you raised it with me before you sign than let it stand.

The Assignment as We Understand It

As we understand it, Stark-Wilson has grown to a point where the way the organization is structured, the way responsibilities are divided among its managers, and the way decisions travel through it all deserve a considered look from outside the business. You have asked us to examine the operating structure as it stands today, the roles and reporting relationships that compose it, the spans and layers through which the work is directed, and the points at which authority for a decision is either unclear or lodged in the wrong place, and to return to you with a design you can act on. Our work will move from an orderly reading of how the organization is run today, through a view of where the present structure helps the business and where it holds it back, to a set of recommendations on the structure, the roles, and the decision rights a revised model would call for. What the engagement does not take in is the running of your operation, which stays entirely yours to direct, nor legal or accounting advice, on which you should keep relying on the advisers who ordinarily give it; where our analysis touches those matters we offer a reasoned business view and not a professional opinion in their place.

How We Would Approach the Work

Our way of working is deliberate, and I hope you will find it plain rather than clever. We begin by listening, to you and to the managers who already carry a working sense of how the organization actually runs, and only then do we set down the few judgments an organization design truly turns on and build the analysis outward from them, so that every recommendation we eventually put in front of you can be traced back to the evidence beneath it. Where that evidence will support a firm recommendation we will give you one, and where it will support only a range or a caution we will tell you so instead, because a recommendation that runs past what we actually know is of no use to you and no credit to us.

The People You Would Be Working With

I will keep my own hand on the engagement and read anything of consequence before it leaves us under the firm's name, but the daily work would rest with two of our people I would ask you to come to know. Julie Parks, a Senior Engagement Manager, would run the engagement day to day, turn the scope set out in this letter into a workable plan, and be your point of contact from the first meeting through to the close. Deborah Gordon, an Associate, would carry the analysis and build the exhibits on which the recommendations rest; she keeps her work close to the evidence, so that a question about any figure can be answered from its source rather than from memory. You are welcome to reach me at any time, though for most day-to-day matters Julie Parks will be the quicker route to an answer.

Fee and Commencement

Our fee for the engagement as I have described it is \$90,500, which covers the time of the people named above through the completion of the work and against which we will render invoices as the engagement proceeds. We would begin the work on May 10, 2011, and would move into the first interviews and information requests promptly after that, so that the opening weeks are not lost to arranging what could have been settled in advance.

Invoicing and Payment

Each invoice we render against the fee stated above is payable within thirty days of your receipt of it. The fee covers our people and their time, and not the incidental costs of the work, such as travel or the reproduction of materials, which we will incur only with your agreement and pass through to you at what they cost us and nothing more. Should the shape of the work change materially from what this letter

contemplates, I will raise the fee with you and we will settle it together before any further work is done, so that nothing ever reaches you on an invoice as a surprise.

Duration and Ending the Engagement

We expect the engagement to run for something on the order of five months, though I would ask you to treat that as an honest estimate of the work rather than a promise about the calendar, since we will regard the assignment as finished when it is genuinely done and not merely when a set number of weeks has passed. Either of us may bring the engagement to an end on thirty days' written notice to the other, and should you choose to do so you would owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Stark-Wilson in the course of this work we will hold in confidence and use only for the purposes of the engagement. That obligation binds every member of the team, it outlasts the end of our work together, and it covers the fact of our involvement as fully as it covers its substance. We would ask the same of you in respect of the methods and written materials we share, which are the firm's own way of working and are meant for your use rather than for wider circulation.

Limitation of Liability

We will perform the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, control the commercial and organizational decisions that Stark-Wilson will ultimately take on the strength of our advice, nor the conditions in which those decisions are carried out, and so, save to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be determined by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder will stand, unaffected by it.

If this letter reflects the understanding we reached, I would be grateful if you would sign the enclosed copy where indicated below and return it to me, keeping the second copy for your own file; once your signed copy is in hand, Julie Parks will

write to fix the first meetings and the opening requests for information, so that we can begin without delay.

Julie Ramsey

Managing Principal

Date: April 30, 2011

Julie Gonzalez

Director of Operations, Stark-Wilson

Date: April 30, 2011